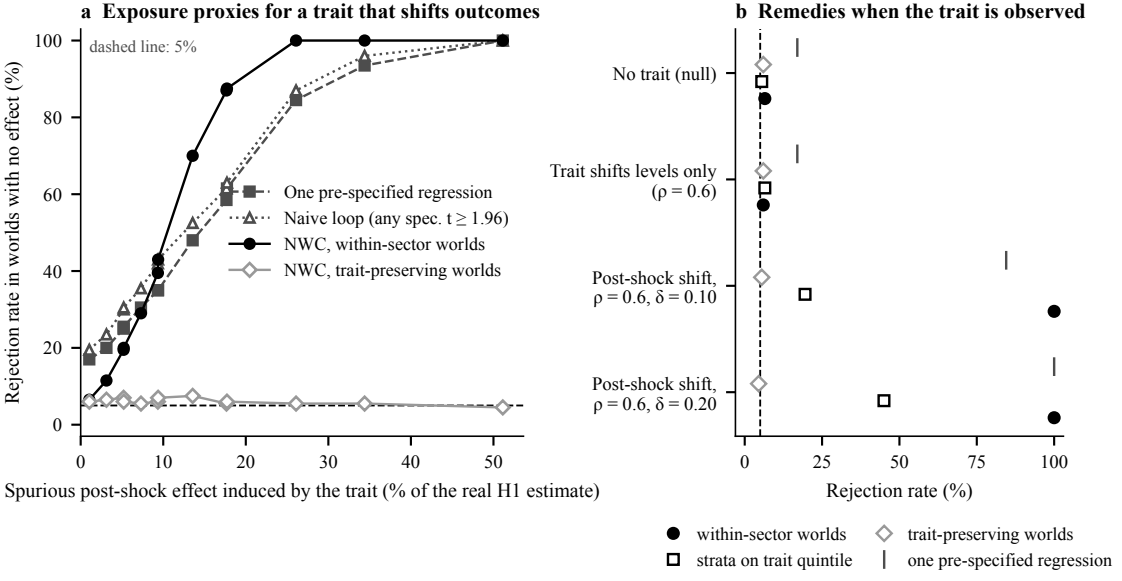

a Exposure proxies for a trait that shifts outcomes
dashed line: 5%
Rejection rate in worlds with no effect (%)
100
80
60
40
20
0
One pre-specified regression
Naive loop (any spec. t ≥ 1.96)
NWC, within-sector worlds
NWC, trait-preserving worlds
0
10
20
30
40
50
Spurious post-shock effect induced by the trait (% of the real H1 estimate)
b Remedies when the trait is observed
No trait (null)
Trait shifts levels only
(ρ = 0.6)
Post-shock shift,
ρ = 0.6, δ = 0.10
Post-shock shift,
ρ = 0.6, δ = 0.20
0
25
50
75
100
Rejection rate (%)
within-sector worlds
trait-preserving worlds
strata on trait quintile
one pre-specified regression